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CASE #	CASE NAME	HEARING NAME
CVME2517406	LOSADA VS OBEIDIN	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Motion to Compel Arbitration is Denied.

Request for Judicial Notice - Plaintiff seeks judicial notice of tax forms, Moving Defendants' answers in other lawsuits, and a minute order in another lawsuit. None of these documents appear relevant to this motion. As such, the request for judicial notice is denied.

Arbitration - The court must grant a petition to compel arbitration unless it finds either: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP §1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.)

The petition to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. R. Ct. 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–219.) “[U]nder this rule, unless there is a dispute over authenticity, it is sufficient for a party moving to compel arbitration to recite the terms of the governing provision.” (*Sprunk v. Prisma LLC* (2017) 14 Cal.App.5th 785, 793.) A petitioner is not required to authenticate the respondent’s signature on an arbitration agreement as a preliminary matter in the moving papers and is only required to do so if the signature is challenged. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846.)

When a party moving to compel arbitration provides a copy of the alleged arbitration agreement that it purports to have the plaintiff’s signature, it meets its initial burden. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) This burden has been met by Moving Defendants. Moving Defendants provide a copy of an arbitration agreements that appears to have Plaintiff’s signature. The agreement states “any and all monetary, damage and/or membership disputes between you and your chapter and/or the Fraternity or involving any entity or person who is affiliated with the Fraternity shall be resolved by non-judicial mediation as a first effort and, if that mediation does not resolve the matter, by binding arbitration in accordance with the Fraternity’s dispute resolution procedures which include a waiver of judges and juries in all state and federal judicial system.” (Terms and Conditions of Your Membership in Your Chapter of the Pi Kappa Alpha International Fraternity, ¶ 10.). The agreement defined Fraternity as PKA International. (*Id.*) Plaintiff in his FAC alleges that Moving Defendants are alter egos. (FAC, ¶ 56.) Due to this, the agreement appears to cover the issue in the FAC asserted against Moving Defendants.

Plaintiffs now have the burden to offer admissible evidence creating a factual dispute as to the authenticity of the signature. (*Iyere, supra*, 87 Cal.App.5th at 755.) He does not challenge the validity of his signature. He also does not challenge that PKA International

is a party to the agreement. He does assert that the agreement is not enforceable because of CCP § 1281.2(c), the agreement is unconscionable, the arbitration clause does not encompass Plaintiff's claims, the motion is premature, and the agreement is not enforceable against Oak because it is not a signatory.

CCP § 1281.2: Under CCP § 1281.2,

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition.

A court has the following options if it finds that CCP § 1281.2(c) is applicable:

The court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.

Plaintiff contends the requirements under CCP § 1281.2(c) have been met. They assert that while PKA International is a party to the arbitration agreement, the other defendants are not. Plaintiff contends all the defendants' claims are tied to the same hazing course of conduct and the April 13, 2024 rollover accident. Due to this, he contends that CCP § 1281.2(c) applies and the motion should be denied. Moving Defendants concedes that the first two requirements under CCP § 1281.2(c) have been met. However, they argue that there is no common issue of law or fact in this matter between the defendants (the third element). They argue that the basis of liability is distinct among the defendants. As such, CCP § 1281.2(c) is not applicable.

CCP § 1281.2(c) is applicable. Liability against Moving Defendants, PKA, CSU, Family Trustees, Brayden Offord, Kory McCann, and Brandon Judy for the first cause of action is based in part on their failure to prevent hazing-related conduct, including sleep deprivation and unsafe travel practices that allegedly occurred at the retreat by PKA. (FAC, ¶ 134.) The second cause of action alleges that Moving Defendants, PKA, and CSU are all liable for their failure to use reasonable care in supervising or monitoring, which resulted in the car accident and injury to Plaintiff. (FAC, ¶¶ 138, 140, 142-145.) Liability against the Family Trust, Kory McCann, and Brandon Judy in the third cause of

action is sought in part based on injuries caused by the car accident. (FAC, ¶¶ 147, 148, 150, 151-154.) The sixth cause of action against Moving Defendants, PKA, Brayden Offord, Kory McCann, and Brandon Judy is based on hazing at the retreat and exhaustion-induced return travel. (FAC, ¶ 167.) The seventh cause of action against Moving Defendants, PKA, Brayden Offord, Kory McCann, and Brandon Judy is based on hazing at the retreat. (FAC, ¶ 174.) If there were no hazing activities at the retreat or if the hazing activities did not cause or contribute to the accident, most of the claims against the defendants would fail. Due to this, the claims against the defendants all share a common question of fact. If the claims regarding Moving Defendants went to arbitration, there could be inconsistent rulings if one of the venues finds that there was no hazing at the retreat/or the hazing did not cause or contribute to the accident and the other venue finds that there was hazing at the retreat/or the hazing caused or contributed to the accident.

Since there is a potential for inconsistent rulings, the requirements for CCP § 1281.2(c) have been met and the motion to compel arbitration would be denied for that reason.

Unconscionability - Plaintiff also contends the arbitration agreement is unconscionable and asserts the motion should be denied on this basis. “Unconscionable arbitration agreements are not enforceable.” (*Wherry v. Award, Inc.* (2011) 192 Cal.App.4th 1242, 1245.) “To be voided on this ground, the agreement must be both procedurally and substantively unconscionable.” (*Ibid.*) “But they need not be present to the same degree.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*)). Rather, the court invokes a “sliding scale” to determine unconscionability: “The more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Ibid.*) “The burden of proving unconscionability rests upon the party asserting it.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) Unconscionability is a question of law. (*Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1562.)

Procedural unconscionability may be proven by showing oppression which is present when a party is given no meaningful opportunity to negotiate the terms of the contract which is presented on a take-it-or-leave-it basis. (*Wherry v. Award, Inc., supra*, 192 Cal.App.4th at 1246.) Plaintiff provides a declaration that states he was told if he did not sign the agreement, he would be dropped from the pledge process. (Declaration of Camilo Losada, ¶ 4.) This appears sufficient to establish some procedural unconscionability.

Plaintiff also argues that the agreement is procedurally unconscionable because of surprise. He argues that the agreement states that the fraternity’s dispute resolution process would govern arbitration. However, those rules were not provided or described. The California Supreme Court in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1246 noted that the failure to provide the arbitration rules does not provide “a greater degree of procedural unconscionability” because the unconscionability claim must depend on the arbitration rule in question. In other words, the plaintiff must demonstrate that there is something in the rules that he was unaware of that makes them unconscionable. (*Id.*) Plaintiff does not address any of the rules. Due to this, the procedural unconscionability argument regarding the arbitration rules fails.

Plaintiff argues that the agreement is substantively unconscionable. “Substantive unconscionability addresses the fairness of the terms in dispute.” (*Wherry v. Award, Inc.*, *supra*, 192 Cal.App.4th at 1248.) He asserts there is substantive unconscionability because the rules that apply to arbitration have been drafted by PKA International with no consent from Plaintiff. Neither party has provided the Court with a copy of the arbitration rules. As such, the Court cannot determine if they are appropriate or not. Neither of the cases relied on by Plaintiff provides that a procedure drafted by one party for arbitration is per se improper. *Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1242-1243, found arbitration rules that gave the drafting party control to select the designated dispute resolution organization, which would not be disclosed ahead of time, and the drafting party could change at any point of time was unconscionable. Without knowing what the actual arbitration rules say, it is unclear if they are similar to *Murrey*. As such, this argument fails.

Next, Plaintiff argues the agreement is substantively unconscionable because it does not contain a provision addressing the allocation of arbitration fees or costs. Plaintiff does not point to anything in the rules governing arbitration that would require costs that would be greater than those found in litigation. Neither of the cases relied on by Plaintiff finds that the failure to address costs makes an arbitration agreement substantively unconscionable. In *Gutierrez v. Autowest, Inc.* (2004) 114 Cal.App.4th 77, 90, the Court provides that “it is substantively unconscionable to require a consumer to give up the right to utilize the judicial system, while imposing arbitral forum fees that are prohibitively high.” However, as discussed above, Plaintiff fails to identify any fees under PKA International’s arbitration rules that are greater than those found in litigation. In *Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1579, the Court found that because the matter did not involve employment claims, the court considered the amount of arbitration fees and costs, and the ability of the party opposing arbitration to pay them to determine if costs made arbitration substantively unconscionable. Again, Plaintiff has failed to set forth any necessary evidence regarding the cost of arbitration. As such, this argument fails.

Plaintiff’s last argument for procedural unconscionability is that PKA International can change the governing terms of arbitration. Again, a copy of the arbitration rules has not been provided. As such, it is not clear how these rules can be changed. Additionally, one party’s right to modify an arbitration agreement does not make it illusory. (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 385-390.) As such, this argument fails.

Since Plaintiff has failed to establish substantive unconscionability, his argument for unconscionability fails. While the unconscionability argument fails, the motion is still denied based on CCP § 1281.2(c).

Premature Motion - Plaintiff contends that this motion should also be denied because it is premature. He argues that under the arbitration agreement, the parties are required to first try and resolve this matter through mediation. Plaintiff is correct that the arbitration agreement provides that mediation is to be attempted before arbitration. It appears that both sides appear open to mediation. (Exhibit 4 to Patrick R. Ball’s Declaration.) As such, at most, continuing this motion pending the outcome of mediation would be

appropriate. However, since this motion should be denied under CCP § 1281.2(c), a continuance is not necessary.

Arbitration Clause does not Encompass Plaintiff's Claims - Plaintiff argues that the arbitration agreement does not apply to catastrophic person injury torts. Arbitration agreements are construed in favor of sending the parties to arbitration unless it is clear that the arbitration clause cannot be interpreted to cover the dispute. (*Cione v. Foresters Equity Servs.* (1997) 58 Cal.App.4th 625, 642.) The arbitration provision at issue is very broad. It states “any and all monetary, damage and/or membership disputes between you and your chapter and/or the Fraternity or involving any entity or person who is affiliated with the Fraternity shall be resolved by non-judicial mediation as a first effort and, if that mediation does not resolve the matter, by binding arbitration in accordance with the Fraternity’s dispute resolution procedures which include a waiver of judges and juries in all state and federal judicial system.” (Terms and Conditions of Your Membership in Your Chapter of the Pi Kappa Alpha International Fraternity, ¶ 10.) Plaintiff is not seeking equitable relief. He is seeking damages, which fall within the arbitration agreement. As such, this provision appears to apply to his claims.

Non-signatory - Plaintiff argues that Oak cannot compel him to arbitration because he is not a signatory to the agreement. “The general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it.” (*Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1128.) However, a nonsignatory can enforce an arbitration agreement that their alter ego is a party to. (*Jenks v. DLA Piper Rudnick Gary US LLP* (2015) 243 Cal.App.4th 1, 9-10.) Plaintiff alleges that Moving Defendants are each others alter egos. (FAC, ¶ 56.) Due to his, Plaintiff’s nonsignatory argument fails.

Hazing Claims - Plaintiff argues that since he has a claim for hazing, which is based on a penal code section, this claim cannot be compelled to arbitration. However, Plaintiff fails to cite to any authority that supports this assertion. Statutory claims can be resolved via arbitration. (See *Armendariz, supra*, 24 Cal.4th at 100-113.) As such, this argument fails.

Conduct in Bad Faith - Plaintiff argues that Moving Defendants’ conduct in filing an answer and demanding a jury trial is inconsistent with arbitration. The authority cited to by Plaintiff to support this argument pertains to waiver. “[I]n determining whether a party to an arbitration agreement has lost the right to arbitrate by litigating the dispute, a court should treat the arbitration agreement as it would any other contract, without applying any special rules based on a policy favoring arbitration. That is, courts should apply the same procedural rules that they would apply to any other contract.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 583.) “To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (*Id.* at 584.) “The relevant factors establishing waiver include whether the party’s actions are inconsistent with the right to arbitrate; whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; whether a party delayed for a long period before seeking a stay; whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and whether

the delay affected, misled, or prejudiced the opposing party.” (*Hoover v. American Income Life Ins. Co.* (2012) 206 Cal.App.4th 1193, 1204.)

There is no evidence that Moving Defendants have conducted extensive discovery, substantially delayed in pursuing their right to arbitration, or taken advantage of procedures only available in court. As such, this argument fails. However, since CCP § 1281.2(c) is applicable, this motion is denied.

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CASE #	CASE NAME	HEARING NAME
CVME2517406	LOSADA VS OBEIDIN	DEMURRER ON 1 ST AMENDED COMPLAINT

Tentative Ruling: Demurrer to First and Second Causes of Action sustained with 20 days leave to amend.

Meet and Confer - The parties’ counsel met and conferred by telephone before this motion was filed. This is sufficient to meet the meet and confer requirements under CCP § 430.41. (Declaration of Roberta A. Kraus, ¶ 4.)

Merits - A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

CSU is a government entity. Under the California Tort Claims Act (“Tort Act”) (Government Code §§ 810, et seq.), government tort liability must be based on a statute. (*Michael J. v. Los Angeles County Dept. of Adoption* (1988) 201 Cal.App.3d 859, 866.) The Tort Act specifically states: “[e]xcept as otherwise provided by statute: (a) public entity is not liable for an injury, whether such injury arises out of an act or omission of the public entity or a public employee or any other person.” (Government Code § 815.)

The two causes of action at issue in this motion are the first cause of action for negligence and the second cause of action for negligent supervision. A cause of action for negligence requires a duty of care owed by the defendant to the plaintiff, breach of this duty, causation, and damages, (*Johnson v. Superior Court* (2006) 143 Cal.App.4th 297, 305.) “To establish negligent supervision, a plaintiff must show that a person in a supervisory position over the actor had prior knowledge of the actor’s propensity to do the bad act.” (*Z.V. v. County of Riverside* (2015) 238 Cal.App.4th 889, 902.)